



V-Mart's results better than expectations || current nos include acquisition of Arvind Life stores (Unlimited)

- **Revenue:** increased by 47.2% YoY to Rs 6920.18mn QoQ +105% (+23.1% over Q3FY20)
 - Revenue contribution from 74 "Unlimited stores" (purchased from Arvind Lifestyle stood at 17% in Q3FY22 i.e. 1176.4mn)
 - Ex of unlimited stores Revenue grew by 22% YoY and sq ft additions stood at 10% YoY
 - **Over Q3FY20 Revenue (ex of unlimited stores) grew by 2% v/s sqft additions of +20% || SSG was -9%**
- **EBIDTA** increased by 30% YoY to Rs 1353.15 mn (v/s Rs 206mn QoQ)
- **PBT** increased by 20% YoY to Rs 764mn (flat over Q3FY20)
- **PAT** increased by 19.3% YoY to Rs 571mn (-2% over Q3FY20)

Other KTA's

- Raw Mat to Revenue @ 63% v/s 63.3% YoY and 69.3% QoQ (63.7% Q3FY20)
- Employee cost went up by 65% YoY to Rs 535mn +29% QoQ due to acquisition(also includes Rs 19.95mn towards ESOPS)
- Other Expenses to Revenue stood at 9.7% v/s 7.7% YoY and 12.3% QoQ (8.3% over Q3FY20)
Rent concessions Q3FY22 = Rs 45.9mn v/s 31.37mn YoY || 9MFY22 = Rs 146.96mn v/s 224.73mn YoY
- **EBIDTA margins** stood at 19.6% v/s 22.1 YoY and 6.1%QoQ (Q3FY20 EBIDTA margins were at 20.8%)

Outlook

- Elections in UP will aid demand in Q4. V-Mart has presence with 120 stores. Holi-festival in March too will push demand. FY23 is expected to be better than FY22.
- Inflation in Raw Material prices (i.e. cotton + fuel) has led to increase in price which impacts volume growth.
- All costs has returned back to normalcy, no pandemic benefits expected going forward.
- Store addition target remain intact @ 10-12 in Q4FY22 and 55-V-Mart stores & ~5-10 in Unlimited stores in FY23.

Rating	TP (Rs)	Up/Dn (%)
ACCUMALTE	3,950	10

Market data

Current price	Rs	3,583
Market Cap (Rs.Bn)	(Rs Bn)	71
Market Cap (US\$ Mn)	(US\$ Mn)	944
Face Value	Rs	10
52 Weeks High/Low	Rs	4849/2,465
Average Daily Volume	('000)	10
BSE Code		534976
Bloomberg		VMART.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	46.40	46.44
Public	53.6	53.65
Total	100	100

Source: BSE

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21E	FY22E	FY23E	FY24E
Net sales	16,620	10,755	17,622	27,846	33,520
Adjusted net profit	494	(62)	121	908	1,448
Free cash flow	227	469	(342)	1,271	2,531
EPS (Rs)	27.2	(3.1)	6.1	46.0	73.4
P/E (x)	132.1	(1,141.6)	584.9	78.1	49.0
P/B (x)	14.2	8.6	8.5	7.7	6.7
EV/EBITDA (x)	32.9	58.1	37.5	23.1	18.4
D/E	0.0	-	0.0	0.0	0.0
RoCE (%)	26.1	3.4	9.1	19.4	24.1
RoE (%)	10.8	(0.8)	1.4	9.8	13.6
Dividend yield (%)	0.0	-	-	0.1	0.1

Source: Company

Conference Call Key Takeaways

DEMAND

- Situation on ground is positive, elections in UP where V-Mart has presence with 120 stores would aid growth
- Agriculture output is expected to be better
- Factors that led to growth in Q3FY22 include wedding season, pent-up demand and festivals (Durga Pooja+Diwali)

Capex and STORE additions

- Addition target 10-12 in Q4FY22 || *closed 4 stores YTD evaluating another 7-8 stores*
- 55 V-mart stores in FY23 . Unlimited too will add 5-10 properties in FY23
- Construction of new warehouse in FY23

UNLIMITED integration (business already profitable)

- Billing now under V-Marts systems
- Unlimited store contribution 12% for 9MFY22 revenue – remains profitable. Transition and integration progressing as planned
- Gross margins is 8% higher than V-Mart's average however other costs are 11% to 12% higher thus overall EBIDTA is 4-5% lower
 - Rentals are 2x (@ 60-65 rs a sqft) v/s V-mart base (Rs 35-40 a sqft)
 - Some mall stores have higher over-heads
- Sharpening product prices and working on increasing throughput by 10-20%
- EBIDTA margins would reach around 5-6% in FY23. Aim to bring EBIDTA @ 7% to 8% with scale.

ONLINE business

- Has fixed cost of Rs 15mn each month related to tech and other support
- Online Business ~1.5% of YTD revenue with marketplace operations at Amazon and Myntra launched recently. Plan to reach 5%

FOOTFALLS

- V-mart stood at 85%
- UNLIMITED stores @ 57% (as mall stores were impacted in the initial months)
- Conversion is lower than footfalls in Q3FY22 with transactions size going up by 13%

FINANCIALS

- ASP were up 12% and transaction value too were up 13% mainly to mitigate inflation
- Employee costs were higher as all vacant positions were filled
- Inventory Break-up Rs 1090mn of Unlimited and Rs 4370mn of V-mart total Rs 5460mn
- EOSS contribution slightly above normal
- SSS for 9MFY22 stood at 35.5% v/s 49.7% YoY
SSS Volume for 9MFY22 stood at 38.9% v/s 52.2% YoY

Quarterly Performance Analysis

Exhibit 1

Particulars (Rs Mns)	Q3FY22	Q3FY21	YoY (%)	Q2FY22	QoQ (%)
Revenue	6920.2	4700.2	47.2	3379.7	104.8
Other Income	26.0	2.9	798.4	40.7	(36.1)
Total	6946.1	4703.1	47.7	3420.4	103.1
Total RM Cost	4359.5	2975.2	46.5	2342.3	86.1
Gross Profit	2560.6	1725.0	48.4	1037.5	146.8
Employee Cost	535.0	324.5	64.9	416.0	28.6
Other Expenses	672.5	362.1	85.7	414.9	62.1
Total	5567.0	3661.8	52.0	3173.2	75.4
EBIDTA	1353.2	1038.4	30.3	206.5	555.3
Depreciation	403.8	253.8	59.1	272.5	48.2
EBIT	975.3	787.5	23.8	-25.3	(3,954.3)
Interest Cost	211.6	150.3	40.8	169.2	25.1
PBT and exceptional item	763.7	637.2	19.8	-194.5	(492.6)
exceptional item	0.0	0.0		0.0	
PBT	763.7	637.2	19.8	-194.5	(492.6)
Taxes	192.6	158.5		-53.1	
Reported PAT	571.1	478.7	19.3	-141.4	(503.8)
EPS	28.9	26.3		-7.2	
as a % to sales					
RM	63.0%	63.3%		69.3%	
GPM	37.0%	36.7%		30.7%	
Employee Costs	7.7%	6.9%		12.3%	
Other expenses	9.7%	7.7%		12.3%	
OPM	19.6%	22.1%		6.1%	
Tax rate (on PBT)	25.2%	24.9%		27.3%	

Source: Dalal & Broacha Research, Company

Exhibit 2

Particulars	Q3FY20	Q4FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22
Stores	257	266	266	264	274	279	282	368	374
<i>Net Additions</i>	18	9	0	-2	10	5	3	86	6
Retail Space YTD in lacs Sq feet	21.0	22.1	22.2	22.0	23.0	23.00	23.20	31.99	33.00
Sales Per Sq Ft Per Mth In Rs as per Presentation	941	619	357	299	895	569	533	347.00	860.00
Segment Contribution									
-Fashion (%)	93	92	90	91	92	91	91	91	93
-Kirana (%)	7	8	10	9	8	9	9	9	7
Total	100	100	100	100	100	100	100	100	100
Sales Mix									
Apparels (%)	79.4	78.7	78.3	79.3	79.3	77.9	80	79.4	81.6
Non Apparels (%)	14	13.1	11.2	12.1	14	12.7	10.7	11.2	11.1
Kirana (%)	6.6	8.2	10.5	8.6	6.7	9.4	9.3	9.4	7.3
Total	100	100	100	100	100	100	100	100	100

Source: Dalal & Broacha Research, Company

Exhibit 3

Particulars	Q3FY20	Q4FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22
FootFall (lacs)	115	82	15	35	83	72	31	66	111
Conversion Rate	60%	55%	68%	60%	62%	61.10%	70.70%	64.60%	60.60%
Average Selling Price (Rs)									
Total (Rs)	266	222	179	183	262	202	193	197	292
Apparels (Rs.)	436	357	247	254	446	327	295	302	503
Transaction size (Rs)	884	790	824	844	968	851	848	838	1096
Store Count YTD	257	266	266	264	274	279	282	368	374
Tier 1	55	58	59	59	63	65	65	100	100
Tier 2	33	35	35	35	37	37	38	56	55
Tier 3	138	141	139	138	140	142	143	157	162
Tier 4	31	32	33	32	34	35	36	55	57
Store allocation	100%	100%	100%	100%	100%	100%	100%	100%	100%
Tier 1 %	21%	22%	22%	22%	23%	23%	23%	27%	27%
Tier 2 %	13%	13%	13%	13%	14%	13%	13%	15%	15%
Tier 3 %	54%	53%	52%	52%	51%	51%	51%	43%	43%
Tier 4 %	12%	12%	12%	12%	12%	13%	13%	15%	15%

Source: Dalal & Broacha Research, Company

Valuation

Valuation: We rollover to FY24 earnings. We have reworked our numbers and for FY23e and FY24e on EV/EBITDA basis, the stock trades at 23x and 18.4x respectively. **We value the company at 20x EV/EBITDA on FY24 numbers to arrive at a target price of Rs. 3950, i.e., 10% upside.**

We had given “book partial profits post Q2FY22 @ Rs 4248” and now revise it to Accumulate

Financial

V-Mart Retail Ltd											
P&L (Rs mn)	FY20	FY21	FY22E	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	16,620.2	10,754.6	17,621.7	27,846.1	33,519.7	Net Profit	494.1	(62.0)	121.3	908.3	1,447.6
Cost of sales	(14,482.7)	(9,442.5)	(15,522.1)	(24,383.9)	(29,200.8)	Add: Dep. & Amort	939.2	1,029.7	1,335.0	1,667.6	1,755.3
Operating Profit	2,137.5	1,312.1	2,099.6	3,462.2	4,318.9	Cash profits	1,433.3	967.7	1,456.3	2,575.9	3,202.9
Depreciation	(939.2)	(1,029.7)	(1,335.0)	(1,667.6)	(1,755.3)	(Inc)/Dec in					
PBIT	1,198.3	282.4	764.6	1,794.6	2,563.6	-Sundry debtors	-	-	-	-	-
Other income	45.5	210.4	147.9	229.3	201.7	-Inventories	(1,489.4)	496.1	(1,269.0)	(2,839.9)	(1,250.7)
Interest	(547.8)	(589.5)	(750.5)	(809.5)	(830.7)	-Loans/advances	(22.6)	(9.8)	125.4	-	-
Profit before tax	695.9	(96.6)	162.0	1,214.3	1,934.6	-Current Liab and Provisions	254.6	(145.0)	1,100.5	1,746.4	647.6
Exceptional and Extra Ordin	-	-	-	-	-	- Other Non Current Assets	(8.1)	(794.7)	(523.1)	(57.0)	(62.7)
PBT (Post Extra Ordinary)	695.9	(96.6)	162.0	1,214.3	1,934.6	Change in working capital	(1,265.4)	(453.3)	(566.1)	(1,150.6)	(665.9)
Provision for tax	(201.9)	34.6	(40.8)	(306.0)	(486.9)	CF from Oper. activities	167.9	514.4	890.1	1,425.3	2,537.0
Reported PAT	494.1	(62.0)	121.3	908.3	1,447.6	CF from Inv. activities	(245.0)	(3,911.5)	(397.2)	(1,778.6)	(1,739.7)
MI	-	-	-	-	-	CF from Fin. activities	(29.1)	3,621.9	(58.6)	(45.4)	(72.4)
Adjusted PAT	494.1	(62.0)	121.3	908.3	1,447.6	Cash generated/(utilised)	(106.2)	224.8	434.3	(398.7)	724.9
						Cash at start of the year	156.1	49.9	274.7	677.1	310.3
						Cash at end of the year	49.9	274.7	677.1	310.3	1,035.2

Balance Sheet	FY20	FY21	FY22E	FY23E	FY24E	Ratios	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	181.5	197.0	197.3	197.3	197.3	OPM	12.9	12.2	11.9	12.4	12.9
Reserves	4,407.8	8,055.2	8,170.4	9,033.3	10,408.6	NPM	3.0	(0.6)	0.7	3.2	4.3
Net worth	4,589.3	8,252.2	8,367.7	9,230.6	10,605.9	Tax rate	(29.0)	(35.8)	(25.2)	(25.2)	(25.2)
Non Current Liabilities	4,439.6	5,381.3	8,166.7	8,802.6	9,031.0	Growth Ratios (%)					
Current Liabilities	3,207.6	2,631.9	3,807.3	5,589.0	6,249.3	Net Sales	15.9	(35.3)	63.9	58.0	20.4
CAPITAL EMPLOYED	12,236.5	16,265.4	20,341.7	23,622.3	25,886.2	Operating Profit	60.9	(38.6)	60.0	64.9	24.7
Non Current Assets	7,060.6	7,446.2	11,437.2	12,187.6	12,413.1	PBIT	13.9	(76.4)	170.8	134.7	42.9
Fixed Assets	6,695.1	6,987.4	11,072.5	11,822.9	12,048.5	PAT	(24.8)	(112.6)	(295.5)	649.1	59.4
Non Current Investments	33.2	36.2	37.4	37.4	37.4	Per Share (Rs.)					
Deferred Tax Asset	160.1	252.7	327.3	327.3	327.3	Net Earnings (EPS)	27.2	(3.1)	6.1	46.0	73.4
Long Term Loans and Advan	118.9	128.3	-	-	-	Cash Earnings (CPS)	79.0	49.1	73.8	130.5	162.3
Other NON Current Assets	53.4	41.6	413.9	419.4	425.5	Dividend	1.7	-	-	2.0	2.0
Current Assets	5,175.9	8,819.2	8,490.7	11,015.3	13,047.5	Book Value	252.8	418.8	424.1	467.8	537.5
Current investments	45.8	3,153.6	1,000.0	1,000.0	1,000.0	Free Cash Flow	(4.2)	(172.4)	25.0	(17.9)	40.4
Inventories	4,779.2	4,283.1	5,552.0	8,392.0	9,642.7	Valuation Ratios					
Trade Receivables	-	-	-	-	-	P/E(x)	132.1	(1,141.6)	584.9	78.1	49.0
Cash and Bank Balances	49.9	274.7	677.1	310.3	1,035.2	P/B(x)	14.2	8.6	8.5	7.7	6.7
Short Term Loans and Advan	0.3	0.7	3.6	3.6	3.6	EV/EBIDTA(x)	32.9	58.1	37.5	23.1	18.4
Other Current Assets	300.7	1,107.2	1,258.0	1,309.5	1,366.1	Div. Yield(%)	0.0	-	-	0.1	0.1
CAPITAL DEPLOYED	12,236.5	16,265.4	20,341.7	23,622.3	25,886.2	FCF Yield(%)	(0.1)	(4.8)	0.7	(0.5)	1.1
						Return Ratios (%)					
						ROE	10.8	(0.8)	1.4	9.8	13.6
						ROCE	26.1	3.4	9.1	19.4	24.1

Source: Dalal & Broacha Research, Company

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